

Capital Adequacy Requirements (CAR) Guideline 2024 - Summary

100-Word Summary

The Capital Adequacy Requirements (CAR) Guideline 2024, effective January 2024, is issued by Canada's Office of the Superintendent of Financial Institutions (OSFI). This comprehensive regulatory framework establishes risk-based capital requirements for Canadian banks across nine key areas: risk overview, capital definition, operational risk, credit risk (standardized and internal ratings-based approaches), securitization, settlement and counterparty risk, credit valuation adjustment risk, and market risk. The guideline incorporates Basel III reforms and provides implementation guidance for Internal Ratings-Based (IRB) institutions, addressing collateral management, risk quantification, rating validation, and data maintenance standards.

10-Word Summary

OSFI's 2024 CAR guideline establishes risk-based capital requirements for Canadian banks.
